have avoided such booms and busts typically have done so with sound policy frameworks.

As a country that does not belong to any power blocs, we do not ever want to be in a position where we need multilateral support. It will be all the more important to get our policy frameworks right.

Clearly, a sound fiscal framework around a clear fiscal consolidation path is critical. The Dr Bimal Jalan Committee's report will provide a gameplan for the former, while the government has clearly indicated its intent to stick to the fiscal consolidation path that has been laid out. Whether we need more institutions to ensure deficits stay within control and the quality of budgets is high, is something worth debating. A number of countries have independent budget offices/committees that opine on budgets. These offices are especially important in scoring budgetary estimates, including unfunded long-term liabilities that the industrial countries have shown are so easy to contract in times of growth and so hard to actually deliver.

On the monetary side, a central bank focused primarily on keeping inflation low and stable will ensure the best conditions for growth. In reacting to developments, however, the central bank has to recognize that emerging markets are not as resilient as industrial economies. So the path of disinflation cannot be as steep as in an industrial economy because an emerging market is more fragile, and people's buffers and safety nets are thinner. A 'Volcker' like disinflation was never on the cards in India, but an Urjit Patel glide path fits us very well, ensuring moderate growth even while we disinflate. Going forward, we will discuss an appropriate timeline with the government in which the economy should move to the centre of the medium-term inflation band of 2 to 6 per cent.